CLASS 10 — SOCIAL SCIENCE · NCERT-TYPE CHAPTER TEST SET 2

Chapter 20: **Globalisation and the Indian Economy (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. NCERT-type: questions in the style of the textbook examples and exercises.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Production of goods and services is today spread over many countries. This is made possible mainly due to: 1

(a) high tariffs **(b)** the end of trade
(c) closing of borders **(d)** technology and transport

2. The policy of removing trade barriers in India was adopted around: 1

(a) 1947 **(b)** 2010 **(c)** 1991 **(d)** 1965

3. Companies that set up production units in SEZs do not have to pay taxes for an initial period of: 1

(a) one year **(b)** ten months **(c)** twenty years **(d)** five years

4. The simplest route for an MNC to enter a foreign market is to: 1

(a) reduce prices only **(b)** buy up local companies
(c) close all firms **(d)** stop production

5. The example in which the American MNC Cargill Foods bought a smaller Indian company is that of: 1

(a) Ranbaxy **(b)** Parakh Foods **(c)** Infosys **(d)** Tata Motors

6. Which step can the government take to make globalisation fairer? 1

(a) block all imports
(b) stop WTO membership at once
(c) ensure labour laws are properly implemented
(d) remove all labour laws

7. Why did the Indian government put barriers on foreign trade and investment after independence? 1

(a) to raise tax
(b) to stop all exports
(c) to cut production
(d) to protect domestic producers from foreign competition

8. Ford Motors, an American company, set up its plant near Chennai in India because: 1

(a) of the availability of cheap and skilled labour and a good port
(b) India had no competitors
(c) there was no market
(d) it wanted high costs

9. A quota is: 1

(a) a limit on the number of goods that can be imported
(b) a tax on exports
(c) a bank deposit
(d) a loan

10. The main channels connecting countries in the process of globalisation are: 1

(a) war and conquest **(b)** religion and language
(c) foreign trade and foreign investment **(d)** rivers and mountains

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. What is foreign investment? 2

12. What is a Special Economic Zone? 2

13. What is a multinational corporation? 2

14. What is the WTO? 2

SECTION — C (Short Answer Type) 4 × 3 = 12

Answer in about 40–60 words each.

15. Why did Ford Motors choose Chennai for its plant? 3

16. How has technology contributed to globalisation? 3

17. State any three industries where MNCs have invested in India. 3

OR

Explain the meaning of 'fair globalisation'. 3

18. How has globalisation affected workers? 3

OR

What is the role of the WTO in globalisation? 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain with examples how small producers suffer due to globalisation. 5

OR

Describe how MNCs and local companies cooperate. 5

20. Explain liberalisation and the reasons why India adopted it. 5

OR

What are Special Economic Zones? Why does the government set them up? 5

END OF QUESTION PAPER Total: 40 Marks

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